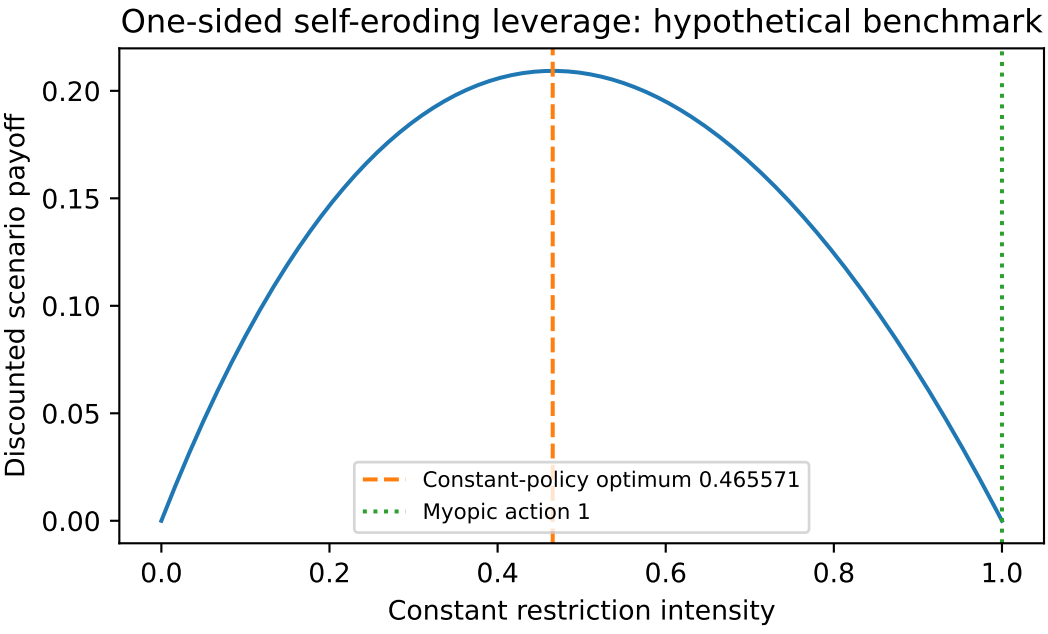
One-sided self-eroding leverage: hypothetical benchmark
Discounted scenario payoff
0.00
0.05
0.10
0.15
0.20
0.0
0.2
0.4
0.6
0.8
1.0
Constant restriction intensity
Constant-policy optimum 0.465571
Myopic action 1